

Opinion **Unhedged**

Inflation is rising, and it's not just the tariffs

Plus the simplicity of the Mag 7

ROBERT ARMSTRONG



© FT montage

Robert Armstrong

Published AUG 1 2025

Get ahead with daily markets updates. **[Join the FT's WhatsApp channel](#)**

This article is an on-site version of our Unhedged newsletter. Premium subscribers can sign up [here](#) to get the newsletter delivered every weekday. Standard subscribers can upgrade to Premium [here](#), or [explore](#) all FT newsletters

Good morning. A wild week for US economic data culminates today with the jobs report. As you read the numbers, remember that Fed chair Jay Powell said this week: because the labour force is shrinking, the absolute number of jobs created is less important now. The unemployment rate is the number to watch. Whatever happens, send us your thoughts: unhedged@ft.com.

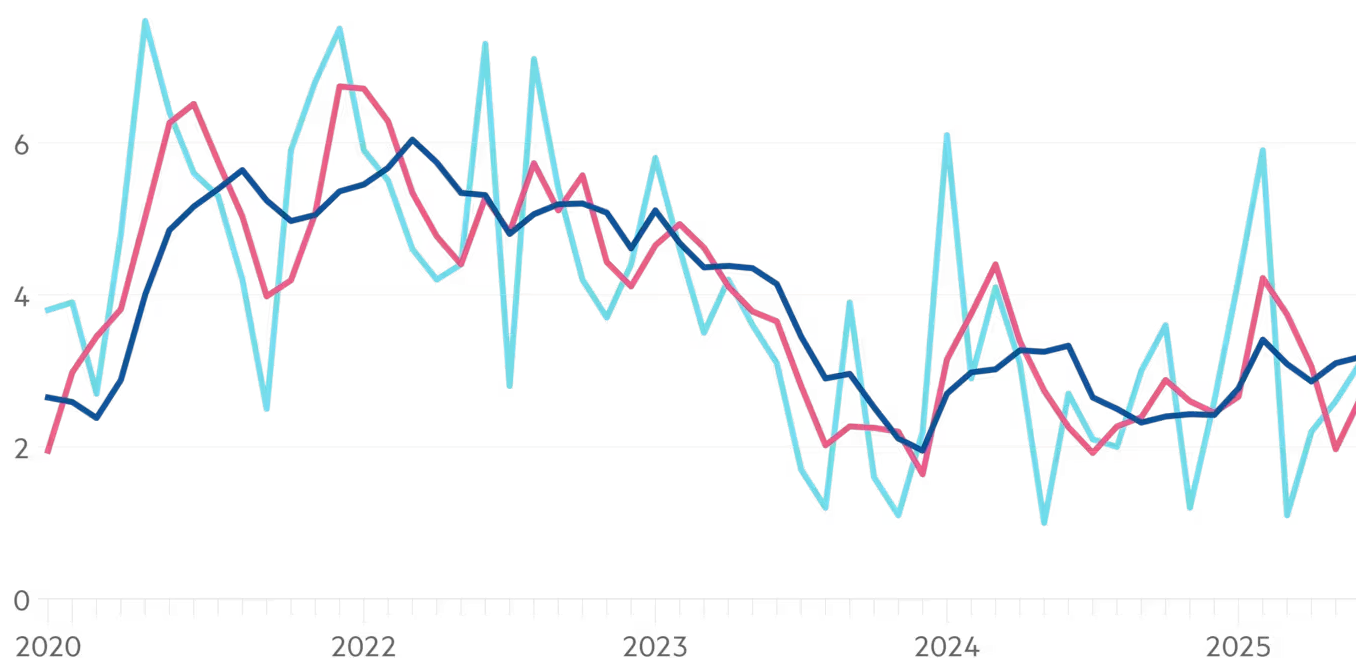
Inflation

Look at the dark blue line below, and answer a simple question: what direction has it been going for the past six or eight months?

Atari (Above Target and Rising Irrefutably)

Core PCE inflation, monthly change annualised, %

— 6-month average — 3-month average — 1-month



US Bureau of Economic Analysis

That dark blue line is inflation, as measured in the Personal Consumption Expenditures price index, on a six-month rolling basis. And it is going up. All together now: inflation is rising. Not *maybe* rising, not rising *depending on what you include or exclude*. Just *Rising*.

This is not because of some fiddly calculation the Department of Commerce does to impute some price, or some rogue, highly volatile price throwing off the whole index. As Omair Sharif of Inflation Insights pointed out to me, market-based (that is, no imputed prices used) core inflation has started rising too, after progress there stalled more than a year ago. It's a similar story with trimmed mean PCE inflation.

What is more, inflation is not rising just because of tariffs.

The main culprit? Goods prices:

Notice two things. The rise in goods prices, which were falling outright in late 2024, proceeds the “liberation day” tariffs by months. And services inflation, while it has been coming down a bit in 2025, has only got back to its 2024 lows on a rolling basis: the past four monthly numbers were 2.6, 1.8, 2.4, and 2.6 per cent, respectively. And, as Sharif points out, most of the progress in core services is down to financial services prices, which in part reflect a lagged effect of the April/May market swoon. That may not last.

Jason Furman of Harvard argues that this can't all be down to tariffs:

The bigger nervousness is the non-tariff inflation, because that could be more persistent. If we thought the story was 2.2 per cent core inflation and tariffs were adding the rest, you would not be in the clear, but it would not be that bad . . .

But overall core PCE inflation is 3 per cent and I have not seen any analysis that says tariffs added a percentage point — all the analysis are in the [low] tenths of a per cent.

Sharif, for example, estimates that we have seen between 0.15 and 0.2 per cent annual contribution to inflation from tariffs now, for example. As of earlier this month, Goldman Sachs thought the impact on year-to-date PCE prices was less than 0.1 per cent. And, Furman emphasises, the idea that we have underlying inflation that is significantly above target is consistent with current levels of wage growth. “Employment Cost index wages, average hourly earnings, the Atlanta Fed wage tracker, they are all showing you wage growth you would expect in a 2.75 per cent inflation world, so the idea that inflation tariffs aside is 2.5, 2.75, or 3 per cent is not crazy.”

We are far from the wretched days of 2022 and it seems very unlikely that we are heeded back there. But we need to be clear that inflation, while it looked like it was just about whipped a year ago, is still with us and unmistakably heading in the wrong direction. Rate cuts would be a bad decision right now. And investors should be thinking about a scenario in which prices accelerate further at the same time that (as we discussed [yesterday](#)) consumer demand seems to be weakening.

The Magnificent Seven: it is not complicated

Apple and Amazon reported yesterday. Apple's revenue was [better](#) than expected, giving the shares a late bump, although tariff fears linger; Amazon's outlook for high [spending](#) to come weighed on its stock. The Magnificent Seven have all reported now (depending on how you treat Nvidia, whose quarters end on a different schedule than the others). Who is winning and who is losing, and why? There is a lot to pick through: AI spending and AI accomplishments, new products, tariff impacts, strategy and on and on.

Stock performance should show us the consensus answer of the market to all those questions. Here is how the Seven have done since the market last hit a proper bottom, in November of 2022:

How to make sense of that chart? Well, in one sense, the message is very simple indeed. The market is saying that it will reward growth, and all the technological and strategic speculation, and for that matter all the financial fundamentals besides growth, don't matter much. Consider this table:

Nvidia has performed by far the best, because its sales growth is by far the best. Meta is next best on sales, and therefore on performance. The share performance of Amazon, Microsoft and Alphabet are huddled together and so are their sales growth rate. Apple and Tesla? Bad growth, bad performance. The wide divergence in cash flow among the companies since the market bottomed doesn't seem to correlate to performance after all.

Grow sales, the stock goes up. Occasionally the market is a pretty simple beast.

One good read

[We love LA!](#)

FT Unhedged podcast



Can't get enough of Unhedged? Listen to [our new podcast](#), for a 15-minute dive into the latest markets news and financial headlines, twice a week. Catch up on past editions of the newsletter [here](#).

Recommended newsletters for you

Due Diligence — Top stories from the world of corporate finance. Sign up [here](#)

The Lex Newsletter — Lex, our investment column, breaks down the week's key themes, with analysis by award-winning writers. Sign up [here](#)

[Copyright](#) The Financial Times Limited 2026. All rights reserved.

Follow the topics in this article

Robert Armstrong

Unhedged

Big Tech

US economy

US inflation